ECONOMIC RECOVERY POST WORLD WAR II

Alfani-Colli 12

Economic history

Ay 2025/2026

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IN THIS CLASS

- The age of prosperity:
  - the Bretton Woods institutions
  - the Marshall Plan
  - the start of European integration
  - economic miracles


IRAQ
LUXEMBOURG
NETHERLANDS
NICARAGUA
PANAMA
PERU
POLAND


NORWAY
PARAGUAY
PHILIPPINES
U. S. S. R.
UNITED KINGDOM
URUGUAY
YUGOSLAVIA

1. BRETTON WOODS

July 1944, Bretton Woods Conference (New Hampshire): international reorganisation of global economic policy through the definition of a new monetary system and new financial institutions to ensure long-term stability.

Objective: the main objective was to reduce the enormous balance of payments imbalances of the participating countries (44 in total) without facing a new season of protectionism.

Two proposals were compared at the conference:

- the White Plan, named after the senior US Treasury official
- The Keynes Plan, named after the famous economist, then First Economic Adviser to the British government

1. BRETTON WOODS

US proposal (H.D. White)

The USA is an exporter and a creditor:

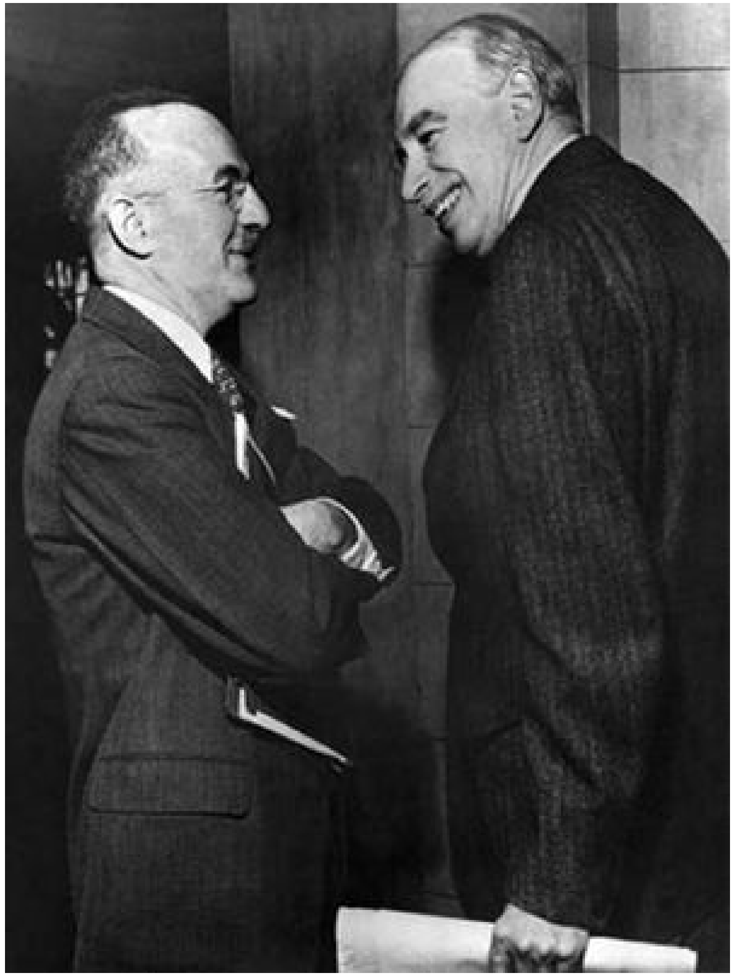
- they want stable exchange rates
- they propose an ‘International Stabilisation Fund’ to lend to countries to support their currency

English proposal (J.M. Keynes)

Britain is an importer and debtor country:

- needs credit
- proposes to create a ‘Clearing Union’ (World Central Bank) to control international payments and lend with a new currency, called *Bancor* (tied to gold)

1. BRETTON WOODS



The American position prevailed and the international monetary system adopted was a new gold exchange standard centred on the US dollar (the only currency convertible into gold at a price of $35 per ounce/28.5 grams).

1. BRETTON WOODS

International Monetary Stability

International Monetary Fund (IMF) with functions of safeguarding the system of fixed exchange rates (against the dollar or gold) and full convertibility of currencies, with powers of compensation for any temporary imbalances in the balance of payments of member countries.

Trade liberalisation

General Agreement on Tariffs and Trade (GATT) paving the way, through successive rounds, for the liberalisation of trade, which is now overseen by the WTO, an international body operating since 1 January 1995 and to which 164 countries belong.

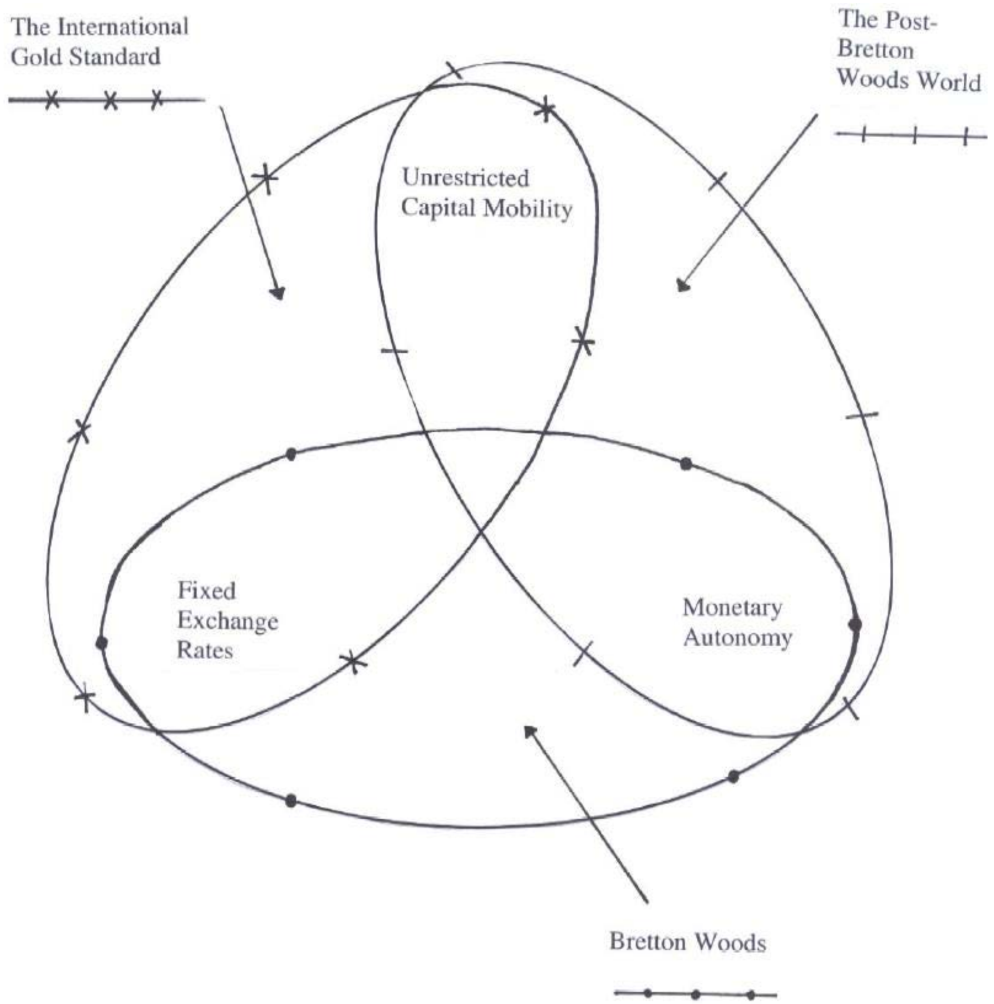
Reconstruction of belligerent countries and development of international investment

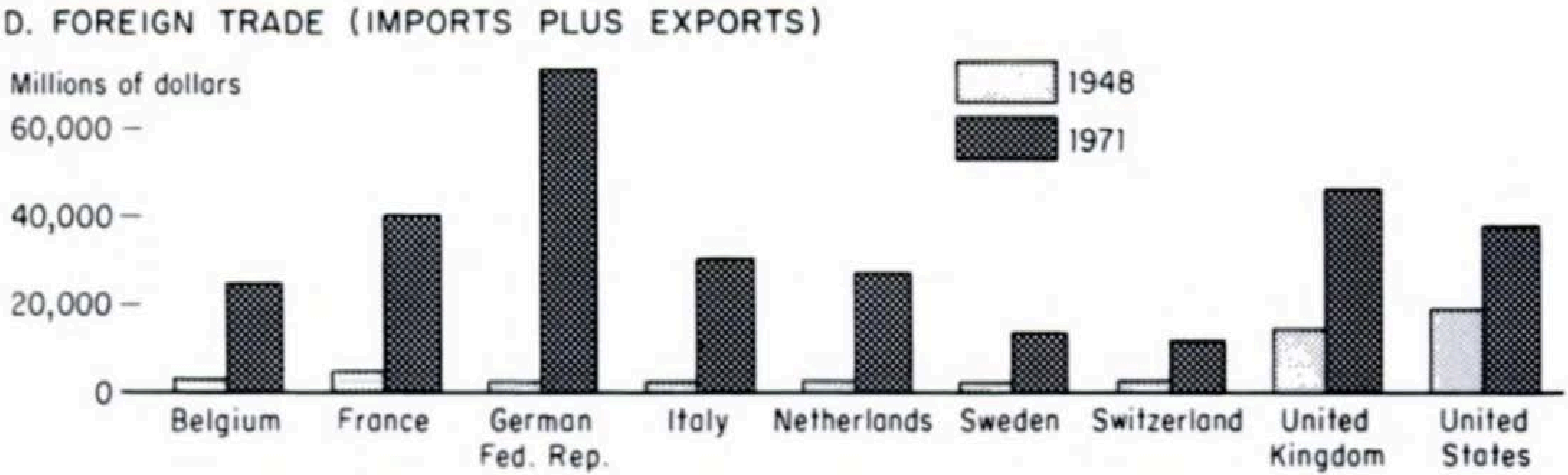
International Bank for Reconstruction and Development (IBRD, now ***World Bank***).

1. BRETTON WOODS

- Bretton woods created a system that was able to put together the objective of
  - stable exchange rates (necessary to promote trade and investment)
  - monetary policy freedom (e.g. in combating unemployment)

- There was a **fixed (but changeable) exchange rate** regime: in the case of structural balance of payments imbalances, devaluation is possible with IMF approval.




D. FOREIGN TRADE (IMPORTS PLUS EXPORTS)
Millions of dollars
60,000
40,000
20,000
0
1948
1971
Belgium
France
German Fed. Rep.
Italy
Netherlands
Sweden
Switzerland
United Kingdom
United States

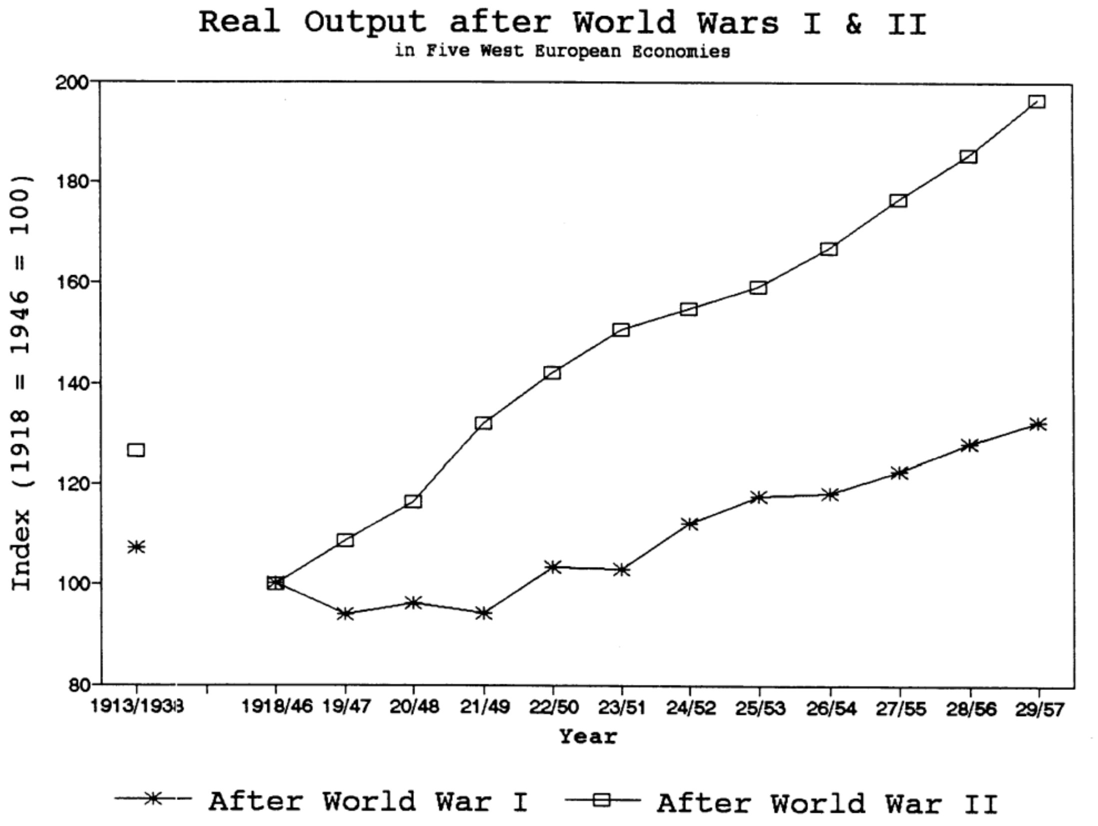
2. GATT AND INTERNATIONAL TRADE

- The Bretton Woods agreements provided for the creation of the International Trade Organisation (ITO) whose founding treaty, however, was not ratified by the US Congress (it not deemed convenient for American interests).

1947: from the ashes of the ITO comes the ***General Agreement on Tariffs and Trade, GATT***, which aims to eliminate tariffs and duties or, more generally, impediments to free trade.

- This was possible thanks to:

1) Principle of '**national treatment**': goods and services from other member countries must be treated in the same way as domestic goods and services (Art. 3)
2) **Most favoured nation principle**: favourable treatment given to one GATT member state must be extended to all other member states (Art. 1)


Real Output after World Wars I & II
in Five West European Economies
Index (1918 = 1946 = 100)
200
180
160
140
120
100
80
1913/1938
1918/46
19/47
20/48
21/49
22/50
23/51
24/52
25/53
26/54
27/55
28/56
29/57
Year
After World War I
After World War II

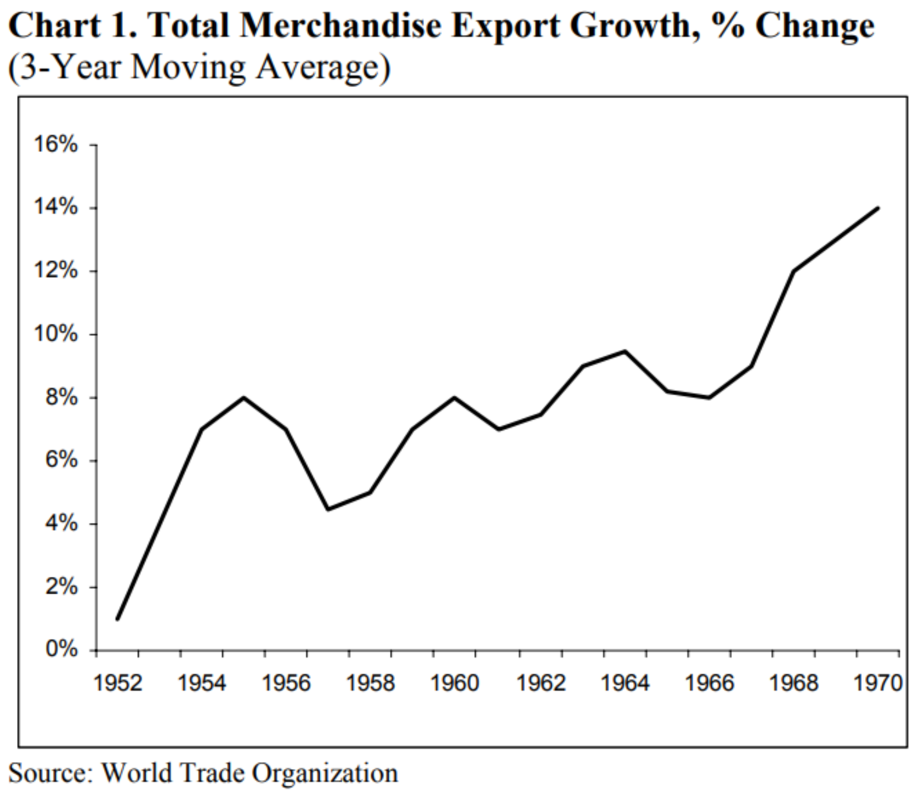


Chart 1. Total Merchandise Export Growth, % Change
(3-Year Moving Average)
16%
14%
12%
10%
8%
6%
4%
2%
0%
1952
1954
1956
1958
1960
1962
1964
1966
1968
1970
Source: World Trade Organization

3. THE MARSHALL PLAN

- In the post-war period:
  - the USA, together with its European allies, advocates a **market economy and political democracy**
  - the USSR (with its satellites in Europe and Asia) holds firm for a planned and state-controlled economy, within a political framework of substantial Communist Party dictatorship.

- To finance the reconstruction of European economies IMF and World Bank were replaced by direct US intervention through the **European Recovery Program (ERP),** the so-called **Marshall Plan**.

«**The modern system of the division of labor upon which the exchange of products is based is in danger of breaking down**. [...] Aside from the demoralizing effect on the world at large [...] the consequences to the economy of the United States should be apparent to all. **It is logical that the United States should do whatever it is able to do to assist in the return of normal economic health to the world, without which there can be no political stability and no assured peace**. Our policy is not directed against any country, but against hunger, poverty, desperation and chaos. Any government that is willing to assist in recovery will find full co-operation on the part of the USA. **Its purpose should be the revival of a working economy in the world so as to permit the emergence of political and social conditions in which free institutions can exist**».

George C. Marshall

Harvard University, 5 June 1947

3. THE MARSHALL PLAN

How did the Marshall plan work?

1. European countries present their (four-year) **development plans** with the demand for necessary goods (raw materials, foodstuffs, coal and oil, machinery and means of transport, etc.).
2. the US government, through the ECA (**Economic Cooperation Administration**) buys goods in America or abroad and delivers them to European countries (who pay in devalued local currency)
3. the European governments sell the obtained goods on their markets and they put the proceeds into a **'counterpart fund'** that they can only use with the consent of the US
4. the fund is used for productive investments (France-Germany)or to reduce public debt (very rarely - UK)

3. THE MARSHALL PLAN

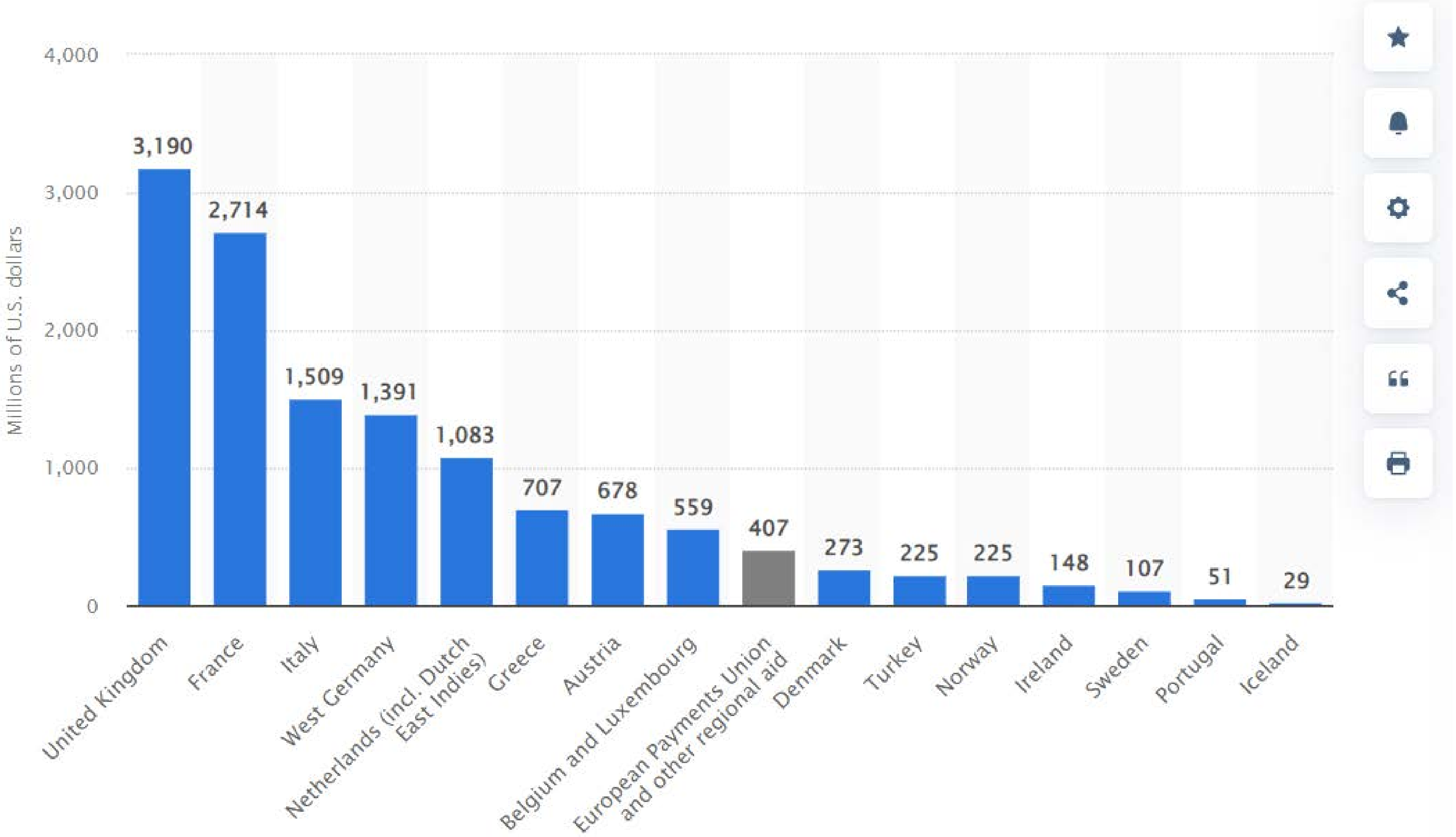
Main features:

- Aid provided by the USA (69 %), Canada (12 %), Latin America (8 %), others (11 %)
- ERP extended to all countries that want to join (including Italy and Germany)
- USSR and communist countries did not join

Main ERP beneficiary countries (1948-52):

- France and GB = ca. 45%
- Italy and Germany = ca. 23%

Distribution of aid from the European Recovery Program (Marshall Plan) per country from 1948 to 1952



4. EUROPEAN INTEGRATION

- The Marshall Plan favours the beginning of **European integration** with the establishment of the OECE/OEEC.
- 1947: French and British attempt to hegemonies aid and create a **Commission for Economic Cooperation.**
- 1948 = the Commission becomes the Organisation for European Economic Cooperation (**OEEC**) with the membership of 16 states.
- the USA assigned the OEEC the task of distributing Marshall Plan aid among the European countries.
- 1961 = transformed into the **OECD** (Organisation for Economic Cooperation and Development) with the accession of other countries (USA, Canada, Japan).

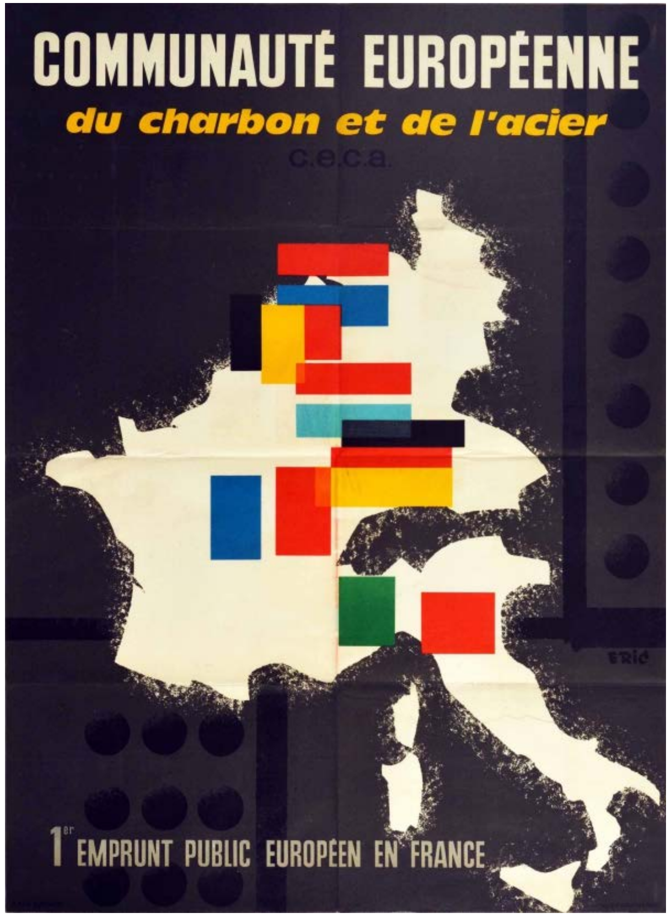
4. EUROPEAN INTEGRATION

During the Korean War (1950), the demand for steel grew: to exploit this situation, **France and Germany** proposed the creation of the European Coal and Steel Community (ECSC) with the objective to create a **common market for coal and steel**

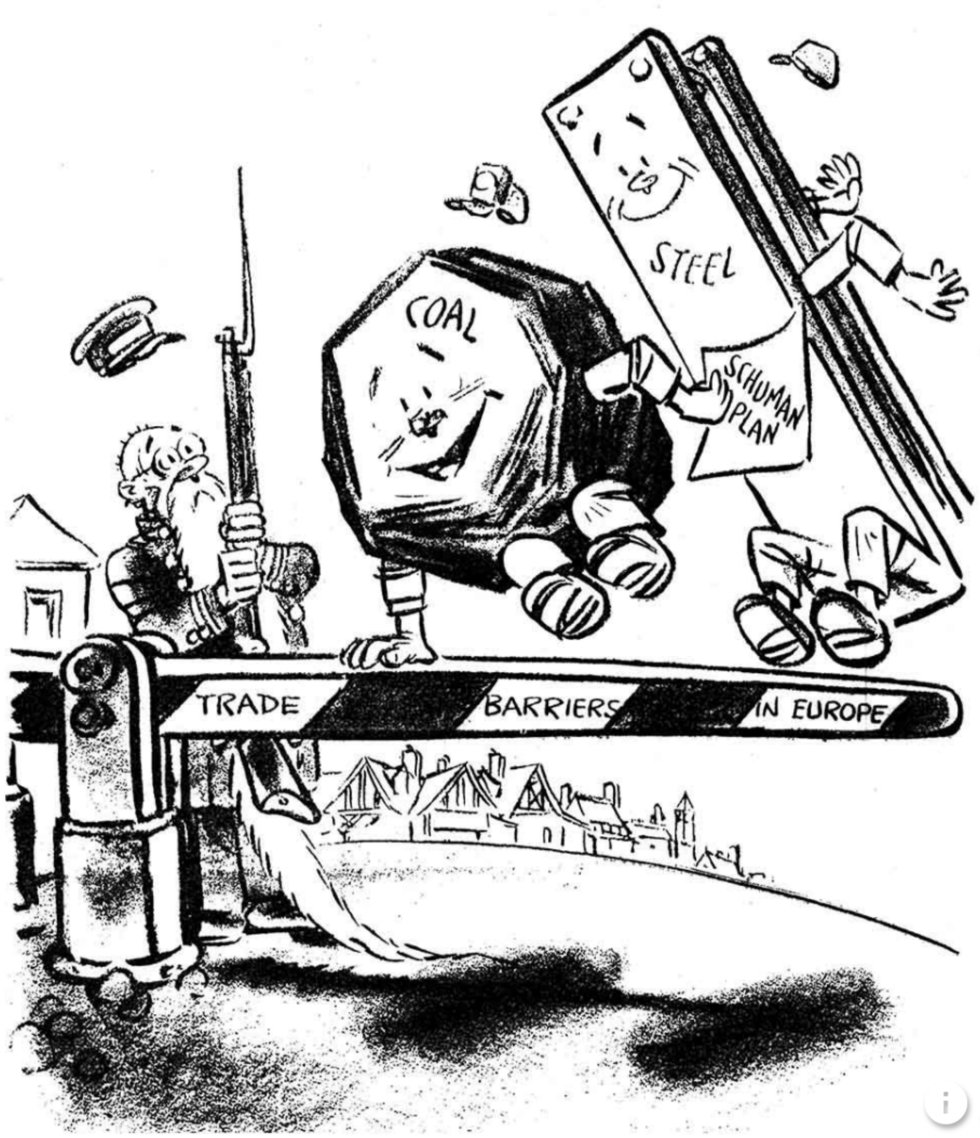
(--> reduction of duties and harmonisation of production and wages).

Belgium, Holland , Luxembourg, and Italy joined soon.

The market was opened on 18 February 1953 for coal and on 1 May of the same year for steel



"One Side, Bud — We're Citizens of Europe Now"



«**The pooling of coal and steel production should immediately provide for the setting up of common foundations for economic development as a first step in the federation of Europe**, and will change the destinies of those regions which have long been devoted to the manufacture of munitions of war, of which they have been the most constant victims».

Robert Schuman
April 1950

The birth of the ECSC is important because the adhering countries explicitly declare that they want to achieve political unification by manifesting a strong pro-European vocation.

5. ECONOMIC MIRACLES

- Economic growth after World War II was exceptional in its intensity and speed.
- Growth rates averaged over **4 per cent** and were often much higher for countries starting from more backward situations.
- Although one of the most (ab)used terms is 'economic miracle', economic growth during this period was supported by solid foundations and strong technological development.
- This was possible thanks to the huge investment in education

Average annual growth rate of value-added per worker (%)

	1870–1913	1913–1950	1950–1973	1973–1990	1990–1998
Western Europe[a]	1.55	1.56	4.77	2.29	2.16
United States	1.92	2.48	2.77	1.41	1.74
Japan	1.99	1.80	7.74	2.97	2.13

Source: Feinstein et al (2008), *The World Economy between the World Wars*, p. 15

5. ECONOMIC MIRACLES

- **Raw Materials at low prices** → this helped to increase the nutritional intake of people
- **Technological Innovations** → thanks to the war effort and the investments received with the Marshall Plan
- **Fordism and Taylorism** → well used also in Europe to increase production efficiency
- **Increasing Savings** → savings used by Banks to finance the R&D in the industrial sector
- **Increasing Consumption** → Unemployment rate around 2%
- **Keynesian Economy** → Investments in public schools
- **International Trade** → promoted by the GATT, the OEEC, the ECSC, BW

5. ECONOMIC MIRACLES

- From 1952 to 1973:
  - generalised growth of per capita GDP in the Western world accompanied by an **industrial transformation** of the economy (downsizing of the primary sector)
  - growth in **consumption** and change in **its composition**
  - convergence process bringing Western European and Japanese economies closer to the US economy

- The role played by the state was crucial:

  - extensive industrial **nationalisation** programmes
  - strong **intervention** in economic and **social planning**
  - strengthening of the **welfare state**

- A world, however, still crossed by deep fault lines: second and third worlds


Supermarket


Come on - let's have a 'COKE'!
Drink
Coca-Cola
Call it Coke or Coca-Cola
It's the same delicious drink


Barilla
pasta di pura semola
di grano duro tipo zero
Barilla
G. R. F.lli Barilla Parma
casa fondata nel 1877 per la produzione delle paste alimentari


BP
AUTOSTRADA

COLD WAR

- We said that USSR was invited to join the conference as part of the allied powers. USA and URSS collaborated during the war thanks to the relationship between Roosevelt and Stalin but before the end of the war Roosevelt died.
  - A new economic unifies zone was created, the COMECON
  - USSR started a race to produce the nuclear bomb
  - Truman used a different approach fighting the spread of communist ideology
  - It was not a physical war but and ideological one: Democratic Capitalism VS Communism as centralised and planned economic system, supported by a dictatorial autocracy
    - *propaganda, printed materials, the cinema, education*
  - The partition of Germany
  - 1949 The Cold war became Global
    - the North Atlantic Treaty Organisation (NATO)
    - in Tienanmen Square, Mao Tse Tung proclaimed the birth of the People's Republic of China